

The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · Naval shipbuilding, ship repair, and fleet sustainment

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This issue is about the price and scarcity of repair capacity, from four directions. The Government Accountability Office has just measured the shortfall on attack submarines, and it is worse than the last time anyone looked. A shipyard union settled for five years, and the contract it posted says something different from the press release. The Chief of Naval Operations has said which account paid for the Iran conflict, and it was the one that pays for maintenance. And a Japanese builder has said his industry cannot absorb the overflow.

One more article is about the supplier side: a qualification route for printed submarine parts that was in force for ten days before anyone reported it.

Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's analysis, built only on facts stated above it; Speculation is flagged as such; Unverified marks a claim this desk could not check against a primary source, with the reason given.

WATERFRONT OPS & PRODUCTION

Eleven percent of attack submarine maintenance finished on time, and the dock queue is about to get longer

The Government Accountability Office reported on attack submarine maintenance yesterday. One number carries it: over ten years the public shipyards finished about a ninth of that work on schedule.

FACT: in GAO-26-109256, published August 27, 2026, GAO found the public shipyards "only completed about 11 percent of attack submarine depot maintenance on time" across fiscal years 2016 through 2025. An availability is the scheduled work period a ship spends at a shipyard for overhaul and repair; depot maintenance is the deepest tier of that work, requiring public shipyard facilities. FACT: the same report puts the cost of crewing and supporting attack submarines delayed entering and leaving the shipyards at \$3.4 billion over that decade, or \$4.2 billion counting boats awaiting decommissioning.

FACT: per the same report, delays ran to 3,040 days across fiscal years 2016 to 2020 and 3,454 days across 2021 to 2025. FACT: it separately counts 8,906 days of active idle time, when a submarine and its crew "must remain pier-side because they are no longer certified to conduct normal operations and

cannot be inducted into a maintenance period." FACT: GAO attributes the delays to workforce shortages and competition for experienced workers, late material deliveries from suppliers, seismic constraints at Puget Sound Naval Shipyard, limited dry dock capacity, and Los Angeles-class boats reaching the end of their service lives.

The queue nobody counts. FACT: the same report counts 3,287 days of inactive idle time, its term for a submarine awaiting decommissioning that cannot get into a public shipyard dry dock, and projects that past 14,000 days by fiscal 2030 across the 15 boats due for inactivation. Inactivation is the shutdown work that precedes decommissioning, and it needs a dock. FACT: Breaking Defense reported on August 27, 2026 that USS Pasadena alone accounts for about \$300 million, having entered inactive status on January 1, 2025 with decommissioning pushed to November 15, 2028. FACT: GAO made two recommendations. The first is that the Navy fully evaluate alternative options to more efficiently decommission attack submarines. The second is that it develop an attack submarine inactivation plan that reduces inactive idle time. The Navy verbally concurred without providing written comments.

Assessment: delay days increased fourteen percent from the first five-year window (3,040 days) to the second (3,454). Two aggregates are not a trend line, but they move in the wrong direction.

The sharper finding is what GAO chose to recommend. It wrote a report about maintenance delays and both recommendations concern disposal. Against the definitions above that follows: a boat awaiting decommissioning is not sitting in a dock, it is queued for one, fully crewed and producing nothing, and GAO projects that queue to more than quadruple by 2030. So dry dock capacity is the binding constraint and it is about to be squeezed from a second direction, by demand that generates no readiness at all. Retiring a submarine by a route that does not need a public shipyard dry dock removes that demand outright, which is why GAO reaches for it before reaching for faster overhauls.

Bottom line: when a dock date slips, ask what is ahead of you in the queue, because a boat waiting to be scrapped competes for the same dock as a boat waiting to be fixed, and that competition is growing. Then look at which cause on GAO's list you actually touch. Late supplier material is on it, and unlike seismic work or dock count, it is the one a planner can move this year.

Sources: *GAO-26-109256, Aug 27, 2026; Breaking Defense, Aug 27, 2026* {.sources}

The maintenance account paid for the war, and the bill arrives as availabilities

In week 30 this desk reported the Navy warning of a summer funding crunch as the fleet ran hard in the Middle East. The Chief of Naval Operations has now put a number on it, and said which account the money came out of.

FACT: USNI News reported on August 26, 2026 that Adm. Daryl Caudle, the Chief of Naval Operations, said the Navy is waiting on a congressional supplemental — an emergency appropriation passed outside the normal budget cycle — “to make up for the funding pulled from the operations and maintenance account for the conflict with Iran,” and that “the Fiscal Year 26 budget did not have Epic Fury baked into it,” Epic Fury being the name of the Iran operation... for me that's probably between \$6-8 billion in the total Department of War supplemental that I need to be whole and solvent for FY26.” Operations and maintenance is the account that pays for ship maintenance.

And the wear is real. FACT: per the same report, carrier deployments have averaged 8.5 months since October 2023 on USNI News's own deployment database, USS Gerald R. Ford returned in May from a 326-day deployment described as the longest since the Cold War, and USS Abraham Lincoln ran more than 300 days including eight and a half months without a port call. FACT: the same report states USS Theodore Roosevelt is deploying from San Diego to relieve USS George Washington, with its commanding officer telling sailors to plan on eight months.

Assessment: two things follow, and the second is the one to plan against. A ship worked that hard without port calls arrives at a yard with more emergent work, meaning defects found once the ship is opened up, than its package assumed. The harder problem is that the account which pays for absorbing that work has already been spent on operations, and being made whole depends on a supplemental that has not passed.

Speculation, flagged because nothing published here shows how the Navy has absorbed an O&M shortfall before: if that money arrives late or short, the

adjustment will not appear as cancelled operations, because the operations are why the money moved. It would appear as funded scope inside availabilities — the authorized work shrinks while the hull's condition does not. Watch for packages that come in narrower than the survey recommended, and read this alongside the lead: that deferred work lands on yards finishing about a ninth of their submarine depot work on time.

Bottom line: ask your planners what funded scope, meaning the work actually paid for as against the work identified, this year's packages assume, and whether it assumes the supplemental. If it does, price and schedule the case where it lands late, because deferred scope on a hard-run hull does not disappear, it moves right, and deferred maintenance on hulls worked this hard typically compounds.

Sources: *USNI News, Aug 26, 2026; Vol. 1 No. 2 (week 30)* {.sources}

Bath settled for five years, and the automation clause is narrower than the headline

The union at Bath Iron Works ratified a five-year contract this week. Every account led with 17%. The agreement itself is posted, and it answers the question the percentage does not: 17% of what.

FACT: the International Association of Machinists and Aerospace Workers announced on August 23, 2026 that nearly 4,500 members of its Local S6 ratified a contract running to August 24, 2031, with a 17% general wage increase in year one and 4% in each of the four after it, shift premiums up to \$2.50 an hour, health care costs locked for the term, and “no concessions.”

FACT: the wage tables in the tentative agreement Local S6 published on August 14 show the top grade, AA Specialist, going from \$39.75 an hour to \$46.51, and the bottom grade, Grade 1, from \$26.76 to \$31.31. FACT: by the last year of the contract those become \$54.41 and \$36.63, against \$36.40 and \$24.50 when the expiring contract began in August 2023.

The clause everyone reported as a win. FACT: Article 46 requires the company to “notify and engage the Union at the conceptual stage of any proposed addition or modified technology, equipment, or process including but not limited to AI, and Robotics.” That is real, and it is early. But FACT: the same article defines new technology as a significant change to how Bath builds or maintains its products “where the outcome would directly result in staffing reductions.” The trigger is headcount, not technology.

The outsourcing language has a similar shape. FACT: work normally done by union members goes through

a joint process, but “if an agreement cannot be reached, the Company may implement its decision,” subject to an arbitrator who must weigh stated business grounds including competitive position and “severe manning shortages.”

Assessment: the union bought a large wage step and an early seat, not a veto. Because the formal trigger is written on staffing reductions, automation adopted to raise throughput at a fixed headcount does not trip it, while automation adopted to cut heads does. That is a usable distinction. Speculation, since this desk has read one agreement at one yard and no other contract language: yards will start writing their automation cases on throughput rather than headcount, and the definition itself becomes the thing bargained over, because it decides whether a yard is notifying or negotiating.

Bottom line: two things to do. Put the Local S6 table against your own before your next hiring round, because \$31.31 is now a published entry rate and your applicants can read it. And find the trigger in your own agreement: if it is written on staffing reductions you have room to automate for throughput, and if it is written looser than that, you do not.

Sources: IAM Union, Aug 23, 2026; IAM Local S6 tentative agreement, Aug 14, 2026; Maine Public, Aug 25, 2026 {sources}

MAINTENANCE ENGINEERING & TECHNOLOGIES

The Navy opened printed metal for submarine parts, and said nothing for ten days

The Navy has opened a route to replace cast and forged submarine parts with 3D-printed metal ones. It signed the document on August 11, announced it on August 21, and the first trade coverage appeared on August 24. For ten days the change was in force with nothing in the trade press about it.

FACT: Seapower reported on August 24, 2026, from a Navy release dated August 21, that a Project Peculiar Document numbered PPD 802-8436658 was issued on August 11, setting out a repeatable route to replace legacy cast and wrought parts, meaning parts poured into a mould or forged under pressure, with 3D-printed metallic ones. **FACT:** a 2013 NAVSEA paper by Norbert Doerry and Khosrow Moniri describes a developed standard being transitioned into an acquisition programme “as either a formal specification or standard, or as a Project Peculiar Document (PPD) developed for incorporation into the ship specification.” So a PPD is the programme-specific route, used instead of issuing something Navy-wide. **FACT:** the Navy release states these

requirements are “authorized for immediate operational use across submarine design, construction, overhaul, and repair.”

FACT: per the same report the route removes “slow, part-by-part engineering assessments, manual drawing modifications, and repetitive first-article testing.” First-article testing is where the government proves the first unit off a process matches the specification, and until now it repeated for every new part. **FACT:** the same report quotes Vice Adm. Robert Gaucher, Director of Submarine Programs, that the directive “hands our engineers, shipbuilders, and suppliers authority to execute at scale.”

FACT: All3DP reported on August 24, 2026, citing the document, that four material families qualify: 304/316-series stainless steels, commercially pure titanium, 70-30 copper-nickel, and cast HY-80/HY-100 steels — the high-yield steels used in submarine pressure hulls — with each family assigned to either powder bed fusion or directed energy deposition. **FACT:** per the same All3DP report, when an approved additive material is substituted under this framework, the component design does not require requalification — shock, underwater explosion, vibration, and acoustic testing are specifically exempted from repetition.

Where it stops. **FACT:** per the same report, Level I material control and SUBSAFE systems stay under the existing quality regime, with tracking and non-destructive inspection, meaning checks that prove a part sound without cutting it open, unchanged. Level I is the regime where the paperwork proving what a part is made of travels with the part. SUBSAFE is what certifies a submarine can submerge and come back.

This is not theoretical. **FACT:** WorkBoat reported on April 2, 2026 that a welded, additively manufactured copper-nickel flange, the collar joining two lengths of pipe, was tested on March 9 and installed aboard the attack submarine USS Washington on March 18 at Portsmouth Naval Shipyard, and that this was “the first time an additively manufactured copper-nickel flange has been welded at a public shipyard.”

Assessment: dropping repetitive first-article testing turns an approval from a per-part event into a per-process one — buy the approval for a class of repair, not a single component. But the wall moved rather than fell. Everything short of Level I and SUBSAFE opened, the hardest tier did not, and drawing rights, meaning who owns a design and can authorise making the part, go unmentioned in the Navy’s account. Speculation: with the Level I line now the main thing between a printer and a submarine part,

the next fight is over which parts belong inside it, argued part by part rather than settled once.

The ten days matter beyond this document. A specification can be signed, in force and binding on your work with nothing written about it, and the trade press that would tell you lags by days at best. If printed parts are on your critical path, the release channels and document numbering are worth watching directly rather than waiting to be told.

Bottom line: before your next review of parts on long order, pull PPD 802-8436658 and sort your waiting castings and forgings by material family: 304/316 stainless, titanium, copper-nickel, and HY-80/100 are the four families the document opened. For each one, check whether it sits inside Level I. The ones outside it have a clear additive path as of August 11, and copper-nickel is already proven aboard USS Washington.

Sources: *Seapower*, Aug 24, 2026; *All3DP*, Aug 24, 2026; *Doerry and Moniri*, "Specifications and Standards for the Electric Warship", NAVSEA, 2013; *WorkBoat*, Apr 2, 2026; Vol. 1 No. 6 (week 34) {sources}

BUSINESS PRACTICES & STRATEGY

A Japanese builder says his industry cannot take the Navy's repair backlog

The Navy has spent the last year opening a new route for forward-deployed repair work: Japanese commercial yards. One of Japan's largest builders has now said the capacity is not there.

FACT: Stars and Stripes reported on May 5, 2025 that the expeditionary mobile base USS Miguel Keith, an expeditionary mobile base used as a floating staging platform, finished a five-month, \$12 million overhaul at Mitsubishi Heavy Industries in Yokohama on April 15, 2025, the first time a Japanese yard had bid for and won US Navy work at that scale. FACT: per the same report it was permissible because the job ran under six months and the ship was not due back stateside within 15 months.

The Navy said plainly why it did this. FACT: The Maritime Executive reported on May 2, 2025 that Capt. Wendel Penetrante, commander of the Ship Repair Facility and Japan Regional Maintenance Center, said using Mitsubishi's yard "has allowed SRF-JRMC's organic workforce in Yokosuka to focus their efforts on the three other warship maintenance availabilities." Organic means his own government employees rather than contractors.

What changed this week. FACT: The Maritime Executive reported on August 23, 2026 that the president of Imabari Shipbuilding said Japanese yards are struggling to meet domestic orders and lack the capacity to take a backlog of US Navy repair and refurbishment work. FACT: per the same report the yards named as expanding are building commercial ships to capture domestic orders, and their new capacity — Namura's dock at Imari Bay, for instance — is not due until 2035.

FACT: the Navy stated on May 13, 2026 that the same Yokosuka facility "has delivered all seven of its completed ships to the fleet on time or ahead of schedule" that year, a record this desk covered in week 33.

Assessment: those commercial yards were never a separate pool of capacity. By the Navy's own account they were a relief valve on Yokosuka, and on the facts above that valve does not widen before 2035. The prediction is that the work goes back to Yokosuka, which on the record just quoted delivered seven ships on time last year, or it comes home. Note also that the six-month and 15-month limits above cap what could ever go this route, so the ceiling was low before capacity was the argument.

Bottom line: if you are scoping a West Pacific availability with a Japanese commercial yard carrying part of the package, take that part out now and re-scope it. Size the alternative you control: travelling crews, their qualifications, and the material kits that go with them.

Sources: *The Maritime Executive*, Aug 23, 2026; *Stars and Stripes*, May 5, 2025; *The Maritime Executive*, May 2, 2025; *Navy.mil*, May 13, 2026; Vol. 1 No. 5 (week 33) {sources}

The Waterfront Brief is compiled weekly by the B2 vault's research engine, this week from a free headline scan across fifteen sources followed by hand research, from the IAM Union and the Local S6 tentative agreement, Maine Public, The Maritime Executive, Hanwha, The Carlyle Group, the Port of San Diego, BlueForge Alliance, the Government Accountability Office, *Seapower*, *WorkBoat*, *Stars and Stripes*, *DefenseScoop*, *Defense News* and *Breaking Defense*, then synthesized and labeled by hand. Scope: US shipbuilding, US Navy sustainment, and partners across the Indo-Pacific region; out-of-area items only for a direct, stated lesson. Freshness policy: every article's anchor source is under 12 months old; anything older appears only as dated context or a flagged exception, and standards and regulations are cited as current text rather than news. FACT means the named source says it, not that this desk has independently verified it. Corrections welcome; the staged sources are retained for audit.

UPCOMING EVENTS

Nearest first, filling the page (dates and registration deadlines exactly as organizers publish them). **Bold** marks a decision that closes inside the next 60 days. NSRP is the National Shipbuilding Research Program, the industry-and-Navy body that funds shared shipyard process research; ASNE is the American Society of Naval Engineers; NCMS is the National Center for Manufacturing Sciences; SME is the Society of Manufacturing Engineers; NAVSEA is Naval Sea Systems Command, which owns Navy ship design, construction and maintenance.

Dates	Event	Register by	Why it matters
Sep 22-24, 2026	Fleet Maintenance & Modernization Symposium (FMMS) 2026, Virginia Beach Convention Center, Virginia Beach, VA (ASNE)	Early bird closed 08/16/26 (per ASNE rate table); standard rate now	Maintenance execution / regional capacity: the flagship fleet maintenance and modernization event for exactly this readership
Sep 29 - Oct 2, 2026	SCA Fall Membership Meeting 2026, Washington, DC (Shipbuilders Council of America)	Members only; none published	Policy engagement / contracting structures: the surface-repair industrial base's Hill-and-Navy engagement window
Oct 28-29, 2026	Arctic Operations Symposium 2026, Maritime Institute of Technology and Graduate Studies, Baltimore, MD (ASNE)	Not published yet	Regional capacity: cold-region sustainment, hull and machinery readiness
Nov 16-17, 2026	Navy Procurement Outlook Summit, Carahsoft Conference Center, Reston, VA (Defense Leadership Forum)	Eventbrite open; no deadline published	Forward workload: where the Navy states its shipbuilding-plan and post-consolidation procurement priorities for 2027, the earliest public read on what work is coming and when
Dec 7-9, 2026	Technology, Systems & Ships / Combat Systems Symposium, George Mason University, Arlington, VA (ASNE)	Not published yet	Maintenance execution: technology, systems and ships exchange near the NAVSEA customer
Jan 26-28, 2027	Military Additive Manufacturing Summit (MILAM), Tampa, FL (Defense Strategies Institute)	Next tier closes Oct 2, 2026 (per DSI); then Dec 4, registration closes Jan 22	Additive qualification: metal and polymer additive manufacturing print qualification and NAVSEA-spec adoption; the AM-pipeline event
Mar 23-25, 2027	NSRP All Panel Meeting 2027 (NSRP)	"Coming soon" per NSRP	Regional capacity: where yard R&D ideas get socialized and teamed program-wide

On the registry beyond the 365-day window, rolling in as they approach: Indo Pacific 2027 International Maritime Exposition (Nov 2-4, 2027).